

Ethical Decision Making and Prioritizing Stakeholders

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WHAT'S COVERED

In this lesson, you will learn about making choices when they involve differing groups of stakeholders. Specifically, this lesson will cover:

1. Stakeholder Management

The first step in **stakeholder management**, the process of accurately assessing stakeholder claims so an organization can manage them effectively, is to define and prioritize stakeholders significant to the firm. Then, it must consider their claims. Given that there are numerous types of stakeholders, how do managers balance these claims? Ethically, all groups should have their claims considered, and managers should respond to as many stakeholders as possible. However, time and resource limitations require organizations to prioritize claims as stakeholder needs rise and fall.

First, it may help to speak to the expectations that any stakeholders may have of a particular business or institution. It depends on individual stakeholders, of course, but we can safely say that all stakeholders expect a form of satisfaction from an organization. If these stakeholders are shareholders, then they generally wish to see a high return on their purchase of company shares. If, on the other hand, they are employees, they typically hope for interesting tasks, a safe work environment, job security, and rewarding pay and benefits. If, yet again, the stakeholders are members of the community surrounding a business, they usually wish that the company would not harm the physical environment or degrade the quality of life within it. They might also hope the business will invest money back in the community.



BRAINSTORM

You are a stakeholder of various organizations yourself: as a student, an employee, a renter or mortgage holder, and a client, customer, and patron of different businesses. You may be a shareholder, even if it is only through a mutual fund or 401K. Write a list of 5-10 organizations where you are a stakeholder, preferably with a different kind of relationship. Think of these many relationships and what you want from each organization, both in terms of personal returns and larger ethical commitments from the organization. For example, as a student, you want credits, and ultimately a degree, but you might also have expectations about the way college treats all students.

So, the task confronting an organization's management begins with understanding these multiple and sometimes conflicting expectations and ethically deciding which stakeholders to focus on and in what

sequence, or **stakeholder prioritization**. It helps to actively gather information about all key stakeholders and their claims. First, managers must establish that an individual with a concern is a member of a stakeholder group. For example, a brand may attract hundreds or thousands of mentions on Twitter each day. Which ones should be taken seriously as representative of key stakeholders? Brand managers look for patterns of communication and for context when deciding whether to engage with customers in the open expanses of social media platforms.

After establishing that a key stakeholder group is being represented, the manager should identify what the company needs from the stakeholder. This simply helps clarify the relationship. If nothing is needed immediately or for the foreseeable future, this does not mean the stakeholder group does not matter, but it can be a good indication that the stakeholder need not be prioritized at the moment.

Note that managers are often considering these questions in real time, usually with limited resources and power, and that circumstances can change in a matter of moments. In one sense, all representatives of a company are constantly practicing stakeholder prioritization. It need not be a formal process. At times, it is a question of which supplier should be praised or prodded, or which customer has a larger order to fill or a special request that might be met. What matters is establishing that someone is a stakeholder, that the concern is currently important, and that the relationship matters for the growth of the business.



THINK ABOUT IT

What would happen if the manager chose the small stakeholder over the larger one? What might be a few possible consequences?

If the firm cannot survive without this particular stakeholder or replace them relatively easily, then such a person should have priority over other stakeholders who do not meet this criterion. Key suppliers, lucrative or steady customers, and influential regulators must all be attended to but not necessarily capitulated to. For example, a local state legislator representing the district where a business is located may be urging the legislature to raise business taxes to generate more revenue for the state. By him- or herself, the legislator may not have sufficient political clout to persuade the legislature to raise taxes. Yet wise business leaders will not ignore such a representative and will engage in dialogue with him or her. The legislator may eventually be able to win others over to the cause, so it behooves perceptive management to establish a working relationship with him or her.

Not every stakeholder can command constant attention, and no firm has unlimited time or resources, so in one sense, this prioritizing is simply the business of management. Combine the inherent priority of the stakeholder relationship with the level of **exigency**, that is, the level of urgency of a stakeholder claim, to arrive at a decision about where to begin focusing resources and efforts.

Stakeholder prioritization will also vary based on time and circumstance. For example, a large retailer facing aggressive new competitors must prioritize customer service and value, while a company that has sizable market share might prioritize creating new products or opening new markets.



REFLECT

Think about a time where you felt like you were not a priority for business, and your views or experience did not matter, or the customer service was quite bad, and you felt dismissed or ignored. How did it influence your actions? Did you make different decisions?



TERMS TO KNOW

Stakeholder Management

The process of accurately assessing stakeholder claims so an organization can manage them effectively.

Stakeholder Prioritization

Ethically deciding which stakeholder claims to focus on and in what order.

Exigency

The level of urgency of a stakeholder claim.

2. Influence and Interest

Another way to prioritize stakeholder relationships is with a matrix of **stakeholder power and interest**. As the table below shows, a stakeholder group can be weighted on the basis of its influence (or power) over and interest in its relationship to the firm. A stakeholder with a high level of both power and interest is a key stakeholder. If this type of stakeholder group encounters a problem, its priority rises.

Power	Low Interest	High Interest
High Power	Keep stakeholders satisfied, meet needs. Example: Government regulators.	Keep engaged, manage closely. Example: Majority shareholders.
Low Power	Monitor lightly. Example: Supplier with many other clients.	Keep informed, respect interests. Example: Supplier without other clients.

On the supplier side, a small farmer or seasonal supplier could fall in the low-power, low-interest category, particularly if that farmer were selling various retailers produce from his or her fields. However, if that same farmer could connect to a supermarket chain like Kroger, they could sell this giant customer their entire crop. This relationship places the farmer in the low-power, high-interest category, meaning they will most likely have to make price adjustments to make the sale.

The model's focus on power reveals a need for any company to carefully cultivate relationships with stakeholders. Not all stakeholders have equal influence with a firm. Still, no organization can blithely ignore any stakeholder without potentially debilitating economic consequences. For example, recall in the previous tutorial that airlines might ask single passengers to deplane, with little regard for consequences since they are low-interest/low-power stakeholders. However, a viral video of mistreatment of passengers that turns people off the brand can affect sales; collectively, passengers are a very powerful stakeholder.



REFLECT

In the previous section, you jotted down a list of relationships you have with organizations as a stakeholder. Now consider two things. First, how much would the business miss you if you quit the relationship? Second, how much would you be affected if the organization closed its doors? The answers to these questions will tell you the influence and interest you hold as a stakeholder, respectively.

Successful business practice today hinges on the ethical acknowledgement of all stakeholder claims. It is the right thing to do. Not only that, it also engenders satisfied stakeholders, whether they be customers, stockowners, employees, or the community in which a firm is located. Naturally, satisfied stakeholders lead to the financial well-being of a company.



TERMS TO KNOW

Stakeholder Power

The amount of influence that a stakeholder has on organizational decisions.

Stakeholder Interest

The level of commitment that a stakeholder has to a business's success.

3. Managing Expectations

Stakeholder management does not work if the firm's prioritizing decisions are based on flawed, inaccurate, or incomplete information. Some tools are available to help. MITRE is a nonprofit research and development consulting firm that helps governments and other large organizations with many stakeholders conduct stakeholder assessment. The MITRE *Guide to Stakeholder Assessment and Management* lays out a five-step system for stakeholder management.

Overall, MITRE stresses that an organization must sustain trust with its stakeholders through communication efforts. To accomplish this, however, stakeholders must first be clearly identified and then periodically reidentified, because stakeholder cohorts change in size and significance over time. The concerns or claims of stakeholders are identified through data gathering and analysis. Sometimes a firm will conduct surveys or focus groups with customers, suppliers, or other stakeholders. Other times, product usage data will be available as a function of sales figures and marketing data. For software in web and mobile applications, for example, user data may be readily available to show how stakeholders are using the company's digital services or why they appear to be purchasing its products. Another source of stakeholder data is social media, where firms can monitor topics stakeholders of all types are talking about. What matters is gathering relevant and accurate data and ensuring that key stakeholders are providing it. In the next step, managers present the results of their research to the company's decision makers or make decisions themselves. Finally, stakeholders should be informed that their concerns were taken into consideration and that the company will continue to heed them. In other words, the firm should convey to them that they are important.



TRY IT

Malaysian Airlines has a high percentage of devout Muslim passengers, particularly en route to Mecca in Saudi Arabia. Because of this, they decided to stop offering alcoholic beverages on their shorter flights, because their Muslim passengers are prohibited from drinking it and they learned that many prefer it not be served on board at all. This wasn't done casually, but as part of a business decision to focus more on specific stakeholders. Imagine yourself in this situation. How would you approach this situation while making both groups of stakeholders feel respected and valued?

Because every firm, no matter its mission, ultimately depends on the marketplace, its clients or customers are often high-priority stakeholders. Ethically, the company owes allegiance to customer stakeholders, but it also has an opportunity and perhaps a responsibility to shape their expectations in ways that encourage its growth and allow it to continue to provide for employees, suppliers, distributors, and shareholders.

We should note, too, that nonprofit organizations are beholden, for the most part, to the same rules that apply to for-profits for their sustainability. Nonprofits typically provide a service that is just as dependent on cash flow as is the service or product of a for-profit. A significant difference, of course, is that the clients or customers for some nonprofit services are often unable to pay for them. Therefore, the necessary cash must come from other sources, often in the form of donations or endowments. Hence, those who give to charitable organizations constitute essential stakeholders for these nonprofits and must be acknowledged as such. Other nonprofits, such as zoos and museums, have a hybrid model where most customers pay for services (such as tickets), but the organization also relies heavily on donations, memberships, and endowments. Those who manage nonprofits have a special obligation to ensure that the organizations have good stewardship of funds, that donations are well spent and meet the goals of those making the donations.

For both for-profit and nonprofit organizations, it is necessary to make sure that what the organization offers is what the stakeholders want. This can happen in three ways:

1. Customers already want a product or service offered by the company.
2. Identifying the gap between what the company provides and what the customers want, and taking action to reduce that gap.
3. Changing customer desires to bring them in line with precisely what the company can deliver.

One example of firms altering customers' habits is the evolution of beverage containers. Most soft drinks and other beverages such as beer were once delivered in reusable glass bottles. Customers were motivated to return the bottles by the refund of a minimal cash deposit originally paid at the time of purchase. The bottles had to be thick and sturdy for reuse, which resulted in substantial transportation costs, due to their weight. To reduce these costs of manufacturing and transportation, manufacturers first redesigned production to be local, and then, when technology allowed, introduced aluminum cans and pull tabs. Eventually, the cardboard carton that held bottles together was replaced by a plastic set of rings to hold aluminum cans together. Now, however, customers and other stakeholders object to the hazard these rings present to wildlife. Some firms have responded by redesigning their packaging yet again. This ongoing process of developing new packaging, listening to feedback, and redesigning the product over time ultimately changed stakeholder behavior and modernized the beverage industry. Stakeholders are essential parts of a cycle of mutual interest and involvement.

The ethical responsibility of a stakeholder is to make their preferences known to the companies they purchase from or rely on. Such communication can lead to an increased commitment on the part of corporations to improve. To the extent they do so, companies act more ethically in responding to the wishes and needs of their stakeholders.

But what about the third item listed above?

3. Changing customer desires to bring them in line with precisely what the company can deliver.

Did this one surprise you? In fact, much of advertising is geared towards changing what customers want to match what the company wants. In the story above, beverage companies stressed the convenience of pull tabs to convince them they preferred canned beverages to bottled beverages. The success of this lives in the idiom, "the best thing since canned beer."



THINK ABOUT IT

Is it unethical to tell customers what they want, using advertising to manipulate public opinion, or just smart business?



SUMMARY

In this lesson, you learned about **stakeholder management**, or the process of defining and prioritizing stakeholders significant to the firm, accurately assessing stakeholder claims so an organization can manage them effectively. Next, you examined stakeholder **influence and interest**, which closely relates to their power over decisions. Finally, you examined stakeholder relationships in terms of **managing expectations**. Remember that every firm, no matter its mission, ultimately depends on the marketplace. Clients or customers are often high-priority stakeholders, and as the adage "the customer is always right" indicates, that view may define the range of options, decisions, and

outcomes.

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TERMS TO KNOW

Exigency

The level of urgency of a stakeholder claim.

Stakeholder Interest

The level of commitment that a stakeholder has to a business's success.

Stakeholder Management

The process of accurately assessing stakeholder claims so an organization can manage them effectively.

Stakeholder Power

The amount of influence that a stakeholder has on organizational decisions.

Stakeholder Prioritization

Ethically deciding which stakeholder claims to focus on and in what order.